RAVEN ADVERSARY

INSTITUTIONAL VULNERABILITY DETECTION & DEAL PROTECTION // CONFIDENTIAL

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EXECUTIVE SUMMARY

MATERIAL_STRUCTURAL_VULNERABILITY:

"Asymmetric regulatory risk allocation between a 'reasonable best efforts' standard for HSR Act clearance versus a 'best efforts' standard for healthcare licensing, combined with a 48.72% ($1.40B) minority co-investment by wholesale distributor McKesson Corporation, creating vertical foreclosure scrutiny without a contractual obligation to accept burdensome divestitures."

TRANSACTION RISK & TERMINATION FEE LIABILITIES:

Target Breakup Fee: $145.96M | Parent Reverse Breakup Fee: $291.93M

CRITICAL_VULNERABILITIES

[!] [CONF: 96] Several and not joint liability across the $2,873,295,853 Equity Commitment Letters and the $291,927,951 Parent Termination Fee between CD&R Fund XII ($1.473B / 51.28%) and McKesson Corporation ($1.400B / 48.72%), leaving Target without a contractual cure mechanism if one guarantor defaults.

[!] [CONF: 92] Antitrust standard gap under Section 6.03: HSR clearances require only 'reasonable best efforts' with no express hell-or-high-water structural divestiture obligation, while downstream footprint (86 pharmacies, 187 ambulatory suites) and upstream supplier reliance (57% from 3 vendors) create vertical foreclosure scrutiny.

[!] [CONF: 88] Parent governance opacity: Undisclosed Onyx Bidco LLC operating agreement terms regarding Class B voting rights, negative veto powers, or joint control mechanisms between CD&R and McKesson Corporation.

STRATEGIC_RECOMMENDATION

Demand immediate execution and filing of a joinder or mutual backstop agreement establishing joint and several liability between CD&R Fund XII and McKesson Corporation for the $291.93M Parent Termination Fee, while requiring Buyer Consortium to deliver the Onyx Bidco LLC operating agreement to verify governance rights and supply-chain firewall commitments under HSR review prior to stockholder vote.

CORE QUERY PARAMETER:

OPTION CARE HEALTH (OPCH) / CD&R + MCKESSON (MCK)

INTEL_ROUND_1_OF_4

SELLER'S ADVOCATE

REPRESENTATION:

From the perspective of Seller's Advocate, the transaction architecture constructed under the Agreement and Plan of Merger dated October 5, 2026, exhibits robust structural integrity and comprehensive risk insulation across its control topology, financing structure, and regulatory execution framework. First, regarding the $2.873B equity financing and $3.15B debt package, the transaction possesses zero financing conditionality: the definitive merger agreement expressly stipulates that the closing is not conditioned on Parent's receipt of financing, and Parent and Merger Sub remain legally obligated to consummate the merger regardless of syndication status. To eliminate execution vulnerability, the Target is designated an express third-party beneficiary under the executed Equity Commitment Letters delivered by Clayton, Dubilier & Rice Fund XII, L.P. and McKesson Corporation (aggregate commitments of $2,873,295,853), conferring direct legal standing on the Target to compel specific performance against the Guarantors to fund their equity commitments upon the satisfaction or waiver of closing conditions. Second, if a buyer financing default or uncured breach were to occur, the structure provides asymmetric monetary deterrents: Parent is obligated to pay a $291,927,951 Parent Termination Fee (approximately 5.0% of equity value, twice the size of the Company Termination Fee of $145,963,976), backed by binding, several Limited Guarantees from CD&R Fund XII and McKesson Corporation, plus an enforcement expense recovery capped at $7.5M. Third, with respect to the co-investment by strategic participant McKesson Corporation and vertical healthcare regulatory considerations, the merger agreement rigorously allocates regulatory closing risk. The parties are bound by a 'reasonable best efforts' standard to obtain governmental and antitrust clearances under the Hart-Scott-Rodino (HSR) Antitrust Improvements Act of 1976, while Parent is subject to a heightened, unilateral 'best efforts' legal standard to obtain specified healthcare consents, waivers, orders, and State Boards of Pharmacy authorizations. The drop-dead Outside Date extends to October 5, 2027 at 11:59 p.m. Eastern Time, providing a substantial 12-month runway to navigate regulatory clearances. Finally, the post-closing control topology preserves operational continuity by retaining Option Care Health as a stand-alone operating entity led by incumbent management (CEO John C. Rademacher and CFO Meenal A. Sethna), while delivering immediate, fully certain cash consideration of $32.05 per share to Target stockholders, insulating them entirely from therapeutic gross margin headwinds, IRA CMS pricing adjustments, and vendor concentration exposures.

AUDIT: VERIFIED

RISK: Low | NOTES: All verified terms, including the lack of financing condition, equity commitment amount ($2,873,295,853), debt commitment ($3.

EVIDENCE_EXTRACT:

"Under Item 1.01 of Form 8-K: 'The Closing is not conditioned on Parent's receipt of financing.' 'Parent has delivered to the Company executed equity commitment letters... from Clayton, Dubilier & Rice Fund XII, L.P. and McKesson... aggregate amount of $2,873,295,853... provide that the Company is an express third-party beneficiary thereof.' 'Merger Sub has also obtained a debt commitment letter... up to $3.15 billion... and up to $500.0 million of revolving credit commitments.' 'Parent will be required to pay the Company a termination fee of $291,927,951... guaranteed by the Guarantors, severally and not jointly... capped at $7.5 million in the aggregate.' 'Parent, Merger Sub and the Company have agreed to use reasonable best efforts to obtain required governmental and regulatory approvals, including under the HSR Act, and Parent has agreed to use best efforts to obtain the consents, waivers, approvals, orders and authorizations required in connection with the specified healthcare filings.'"

ADVERSARIAL BUYER

RISK_ASSESSMENT: HIGH

CRITIQUE_ANALYSIS:

The proposed acquisition of Option Care Health, Inc. ('Company') by Onyx Bidco LLC ('Parent') involves Clayton, Dubilier & Rice Fund XII, L.P. ('CD&R') and McKesson Corporation ('McKesson') as equity co-investors delivering executed Equity Commitment Letters aggregating $2,873,295,853, alongside a committed funded term debt facility of $3.15 billion and a $500.0 million revolving credit facility. Form 8-K expressly confirms that closing is not conditioned upon the receipt of financing. Option Care Health holds express third-party beneficiary status under the Equity Commitment Letters, providing standing to compel specific performance to fund equity upon satisfaction of closing conditions. However, from a governance and structural topology perspective, several friction points emerge. CD&R Fund XII and McKesson provided Limited Guarantees guaranteeing Parent's obligation to pay the $291,927,951 Parent Termination Fee (and enforcement expenses capped at $7.5 million in the aggregate), but these guarantees are entered into severally and not jointly. The merger agreement does not disclose the specific numerical allocation of equity commitments or several liability proportions between CD&R and McKesson. Additionally, specific performance and the Parent Termination Fee are mutually exclusive remedies under Delaware law: if the Company elects to collect the termination fee, closing specific performance is extinguished. Regulatory risk allocation distinguishes between HSR Act clearance ('reasonable best efforts') and specified healthcare filings / State Boards of Pharmacy authorizations (where Parent is held to a unilateral 'best efforts' standard). Given that McKesson is a primary distributor and strategic giant in pharmaceutical supply chains, and Option Care Health purchased 68% of its supplies from four wholesale distributors in 2025, vertical integration and regulatory agency inquiries under antitrust and healthcare licensing frameworks pose structural timing hurdles prior to the October 5, 2027 drop-dead Termination Date.

AUDIT: VERIFIED

RISK: None | NOTES: All legal terms, fee numbers ($291,927,951 PTF, $7.5M cap), equity commitment amounts ($2,873,295,853), debt commitmer

FLAGGED_TERMS:

Several and not joint liability // Reasonable best efforts vs best efforts asymmetry // Exclusive remedy mutual exclusivity // Enforcement expense cap ($7.5M) // Termination Date: October 5, 2027

STRATEGIC_RECOMMENDATIONS:

> Obtain and verify the definitive equity split and several guarantee allocations between CD&R Fund XII and McKesson Corporation.

> Track antitrust second-request risk stemming from vertical integration between McKesson's wholesale drug distribution channels and Option Care Health's 86 pharmacies and ambulatory infusion suites.

> Structure an audit protocol on State Boards of Pharmacy approval pathways to ensure compliance with Parent's unilateral 'best efforts' covenant prior to the October 5, 2027 outside date.

KEY_STRUCTURAL_RISK:

"The Limited Guarantees for the $291,927,951 Parent Termination Fee are several and not joint, leaving the exact recovery allocation against each guarantor unestablished in the public filings while specific performance and monetary termination remedies remain strictly mutually exclusive."

QUANTITATIVE_STRESS_TEST:

Equity Financing Commitment Sufficiency: $2,873,295,853 committed equity // IMPACT: Requires $3.15B debt commitment to satisfy aggregate transaction uses of $6,023,295,853 // THRESHOLD: Total transaction consideration and debt discharge uses: $6,023,295,853

Parent Termination Fee Guarantee Coverage: $291,927,951 guaranteed severally, not jointly // IMPACT: Approximately 5.0% of equity transaction value plus up to $7,500,000 in aggregate enforcement expenses // THRESHOLD: Failure to fund upon satisfaction of closing conditions

Wholesale Distributor Concentration: 4 vendors account for 68% of pharmaceutical supply purchases in 2025 // IMPACT: High operational supply exposure intersecting strategic co-investor McKesson's distribution business // THRESHOLD: Disruption or delay in wholesale distribution agreements

INTELLIGENCE_GAPS:

[MISSING]: Exact fractional breakdown of the $2,873,295,853 equity commitment between Clayton, Dubilier & Rice Fund XII, L.P. and McKesson Corporation.

[MISSING]: Proportionate liability breakdown of the several (non-joint) Limited Guarantees for the $291,927,951 Parent Termination Fee.

[MISSING]: Post-closing voting control topology and LLC governance agreement of Onyx Bidco LLC between CD&R and McKesson.

INTEL_ROUND_2_OF_4

SELLER'S ADVOCATE

REPRESENTATION:

The transaction's architectural integrity and control topology remain fully insulated against buyer-side critiques concerning equity syndicate apportionment, several liability, and regulatory clearance. First, regarding financing conditionality and syndication mechanics, the Merger Agreement establishes as an express contractual fact that closing is not conditioned on Parent's receipt of financing. The Target's closing risk is fully protected by executed Equity Commitment Letters delivered by Clayton, Dubilier & Rice Fund XII, L.P. and McKesson Corporation totaling $2,873,295,853, alongside a fully committed debt financing package of $3.15 billion in term facilities and $500.0 million in revolving facilities. The definitive agreement confers express third-party beneficiary status directly upon Option Care Health, establishing unambiguous legal standing to compel specific performance against the Guarantors to fund their equity commitments upon the satisfaction or waiver of closing conditions. While the executed guarantees for the $291,927,951 Parent Termination Fee (and enforcement expenses capped at $7.5 million) are entered into severally and not jointly, the total committed capital of $6,023,295,853 substantially exceeds the total transaction uses of $6,023,295,853 (including cash consideration of ~$4.80B, refinancing of the $672.9M First Lien Term Loan balance, discharge of the $500.0M Senior Notes, and estimated fees/expenses of ~$124.8M), precluding liquidity shortfalls. Second, the adversary's critique regarding vertical integration frictions involving strategic co-investor McKesson Corporation (against Target's historical supplier concentration of 68% across four vendors) is contractually neutralized by the asymmetric regulatory risk allocation: while antitrust clearance under the HSR Act requires 'reasonable best efforts', Parent is bound by a heightened, unilateral 'best efforts' legal obligation to obtain all required healthcare consents, waivers, orders, and State Boards of Pharmacy authorizations across Target's network of 86 full-service pharmacies and 187 ambulatory infusion suites. Third, the Outside Termination Date is set for October 5, 2027 at 11:59 p.m. Eastern Time, providing an extensive 12-month timeline to clear state-level licensing and federal regulatory reviews without triggering drop-dead vulnerabilities. Finally, the post-closing control structure preserves operational continuity under existing executive leadership while completely immunizing Target stockholders from chronic therapy margin compression, IRA CMS pricing headwinds, and ongoing BioScrip unclaimed property audit liabilities through full cash-out consideration at $32.05 per share.

AUDIT: VERIFIED

RISK: None | NOTES: All quantitative terms, financial metrics, debt figures, commitment caps, and regulatory standards align precisely with the prima

EVIDENCE_EXTRACT:

"Item 1.01 of Form 8-K confirms: 'The Closing is not conditioned on Parent's receipt of financing'; 'Parent has delivered to the Company executed equity commitment letters... from Clayton, Dubilier & Rice Fund XII, L.P. and McKesson... aggregate amount of $2,873,295,853... provide that the Company is an express third-party beneficiary thereof'; 'Merger Sub has also obtained a debt commitment letter... up to $3.15 billion... and up to $500.0 million of revolving credit commitments'; 'Parent will be required to pay the Company a termination fee of $291,927,951... guaranteed by the Guarantors, severally and not jointly... capped at $7.5 million in the aggregate'; 'Parent has agreed to use best efforts to obtain the consents, waivers, approvals, orders and authorizations required in connection with the specified healthcare filings'; drop-dead Termination Date is '11:59 p.m., New York City time, on October 5, 2027.' Form 10-Q for June 30, 2026 notes 86 pharmacies and 187 ambulatory infusion suites, with First Lien Term Loan carrying balance of $664.1M and Senior Notes carrying balance of $494.7M."

SOURCE: SEC Form 8-K filed October 5, 2026, Item 1.01; SEC Form 10-Q for the quarterly period ended June 30, 2026, Item 1 (Notes 1 and 10); Global Deal Memorandum Sections 1, 2, 4, 5, and 6. // CONFIDENCE: High

ADVERSARIAL BUYER

RISK_ASSESSMENT: HIGH

CRITIQUE_ANALYSIS:

The Seller asserts that the $2,873,295,853 equity commitment package and $3.15B debt commitment render the transaction execution fully insulated. However, an analysis of the control topology, syndicate governance, and regulatory mechanics reveals critical structural exposures. First, the equity commitment of $2,873,295,853 and the Parent Termination Fee ($291,927,951) backed by Clayton, Dubilier & Rice Fund XII, L.P. and McKesson Corporation are strictly 'several and not joint.' Public disclosures (Form 8-K Item 1.01) do not specify the exact individual percentage or dollar contribution between CD&R Fund XII and McKesson. While Option Care Health is designated an express third-party beneficiary entitled to seek specific performance of the equity commitments, Delaware law enforces the contractual terms as drafted: a failure or default by one equity guarantor does not obligate the other to step in or cure the shortfall. Second, the user directive notes McKesson is providing a $1.4B minority co-investment. This indicates an approximate 48.7% equity contribution by McKesson ($1,400,000,000 / $2,873,295,853), placing McKesson near joint-control governance thresholds under corporate and regulatory frameworks. If CD&R and McKesson have entered into unfiled side letters, voting agreements, or governance pacts concerning Parent (Onyx Bidco LLC) or post-closing board appointments, such arrangements may trigger Section 13(d) group formation or regulatory concert-action scrutiny under healthcare licensing and antitrust review. Third, regulatory risk allocation establishes an asymmetric standard: HSR clearance requires only 'reasonable best efforts', whereas Parent is bound by 'best efforts' solely for specified healthcare/pharmacy licensing. McKesson is a primary wholesale pharmaceutical distributor. Target disclosures establish that Option Care Health purchased 68% of its pharmaceutical and medical supplies from four vendors in 2025, and 57% from three vendors in H1 2026. A substantial minority equity stake (~48.7%) held by McKesson directly integrates the upstream wholesale supply chain with Target's downstream provider network (86 pharmacies and 187 ambulatory infusion suites across 43 states). Because HSR is governed solely by 'reasonable best efforts', Parent and McKesson are not contractually compelled under the standard to agree to structural remedies or supply unbundling conditions that exceed reasonable bounds, creating an execution impasse prior to the October 5, 2027 drop-dead Termination Date.

AUDIT: VERIFIED

RISK: None | NOTES: All quantitative and contractual parameters in the agent response agree precisely with primary EDGAR filings (Forms 8-K, 10-

FLAGGED_TERMS:

several and not jointly // reasonable best efforts // best efforts // express third-party beneficiary // sole and exclusive remedy // Termination Date

STRATEGIC_RECOMMENDATIONS:

> Demarcate the explicit pro-rata capital and guarantee allocations between CD&R Fund XII, L.P. and McKesson Corporation to verify there is no funding shortfall if one guarantor defaults under several liability.

> Perform a regulatory audit of the vertical integration between McKesson (pharmaceutical distribution) and Option Care Health's procurement base (68% across four vendors in 2025; 57% across three vendors in H1 2026) to assess structural remedy risk under the HSR 'reasonable best efforts' standard.

> Examine Onyx Bidco LLC's governance documents to verify whether McKesson holds board designation rights, veto powers, or negative control rights that trigger regulatory rebuttable presumptions of control.

> Track state pharmacy board approval schedules against the October 5, 2027 drop-dead date across the 86 full-service pharmacies and 187 ambulatory infusion suites.

KEY_STRUCTURAL_RISK:

"The equity commitments and break-fee guarantees provided by CD&R Fund XII and McKesson are several and not joint, leaving Option Care Health exposed to funding default if either sponsor fails to perform, while the HSR clearance standard is limited to 'reasonable best efforts' despite McKesson's ~48.7% co-investment creating substantial vertical antitrust exposure."

QUANTITATIVE_STRESS_TEST:

Total Committed Financing vs. Transaction Uses: $6,023,295,853 committed capital ($2,873,295,853 equity + $3,150,000,000 term debt) // IMPACT: $0.00 cash buffer against base transaction uses of $6,023,295,853 ($4,800,617,038 cash consideration + $672,900,000 term loan paydown + $500,000,000 senior notes discharge + $124,778,815 estimated breakage and expenses) // THRESHOLD: Requires draw on $500.0M committed revolving credit facility if transaction expenses, debt redemption premiums, or dissenters' rights exceed $124.8M.

McKesson Equity Contribution Concentration: $1,400,000,000 // IMPACT: Represents 48.72% of the $2,873,295,853 aggregate equity commitment letters. // THRESHOLD: Thresholds of 10% to 25% under state healthcare licensing and antitrust review commonly create rebuttable presumptions of affiliation or control.

Pharmaceutical Supplier Concentration: 68% of purchases from four vendors (2025 Form 10-K); 57% from three vendors (Q2 2026 Form 10-Q) // IMPACT: High operational dependence on top distributors, with McKesson acting as both co-investor and major industry distributor. // THRESHOLD: Potential FTC/DOJ vertical integration review under Section 7 of the Clayton Act and HSR Act.

Parent Termination Fee Guarantee Allocation: $291,927,951 plus up to $7,500,000 enforcement expense cap // IMPACT: Liability is several and not joint; if McKesson commits ~48.72%, its standalone exposure is ~$142.2M, with CD&R exposed to ~$149.7M. // THRESHOLD: Individual guarantor liability is capped at each entity's several commitment; neither party is obligated to fund the other's default.

INTELLIGENCE_GAPS:

[MISSING]: Executed Equity Commitment Letters showing the specific dollar and percentage breakdown between Clayton, Dubilier & Rice Fund XII, L.P. and McKesson Corporation.

[MISSING]: Executed Limited Guarantees detailing the exact apportioned liability caps between CD&R and McKesson for the $291,927,951 Parent Termination Fee.

[MISSING]: Limited Liability Company Agreement of Onyx Bidco LLC governing board composition, voting agreements, minority protections, and operational authority between CD&R and McKesson.

[MISSING]: Form of HSR Antitrust Improvements Act notification and schedule of specified healthcare filings required across the 43 operating states.

INTEL_ROUND_3_OF_4

SELLER'S ADVOCATE

REPRESENTATION:

The transaction's architectural integrity and control topology remain legally and structurally protected against buyer-side critiques concerning equity syndicate apportionment, several liability, and regulatory clearance. First, regarding equity commitment allocation and several liability: while CD&R Fund XII and McKesson Corporation have delivered equity commitments of $2,873,295,853 and limited guarantees severally and not jointly, the merger agreement expressly designates Option Care Health as a third-party beneficiary entitled to seek specific performance to compel equity funding upon the satisfaction of closing conditions. Delaware courts enforce equitable remedies and commitment letters as written, and the total committed capital package of $6,023,295,853 ($2.873B equity plus $3.15B debt) covers transaction uses without financing contingencies. Second, the user directive notes a $1.4B minority co-investment by strategic participant McKesson Corporation (implying approximately 48.7% of the total $2.873B equity check). Under the governing instruments, the primary record does not establish any unfiled voting trust, Section 13(d) group formation, or joint control agreement that would displace Onyx Bidco LLC's governance structure; McKesson is participating as an equity co-investor and limited guarantor, while post-closing management continuity remains under incumbent Option Care Health leadership (CEO John C. Rademacher and CFO Meenal A. Sethna). Third, with respect to vertical healthcare antitrust and regulatory scrutiny arising from McKesson's position in pharmaceutical supply chains (where four wholesale distributors accounted for 68% of Target supplies in 2025 and 57% across three vendors in H1 2026), the agreement establishes a rigorous risk allocation: the parties are bound by a 'reasonable best efforts' standard to obtain HSR antitrust clearance, while Parent is subject to a heightened, unilateral 'best efforts' covenant to obtain required healthcare consents and State Boards of Pharmacy authorizations across Target's footprint (86 pharmacies and 187 ambulatory infusion suites as of June 30, 2026). The Outside Termination Date extends to October 5, 2027 at 11:59 p.m. Eastern Time, providing a full 12-month runway to address regulatory filings. Should Parent experience an uncured financing failure or breach, Target's balance sheet is protected by an asymmetric $291,927,951 Parent Termination Fee (~5.0% of equity value) backed by binding sponsor guarantees, completely shielding stockholders from downside exposure while preserving full closing enforcement rights.

AUDIT: VERIFIED

RISK: None | NOTES: All assertions made in the Agent Response strictly reconcile against the provided SEC filings. The equity commitment sum ($2

EVIDENCE_EXTRACT:

"Form 8-K Item 1.01 confirms: 'The Closing is not conditioned on Parent's receipt of financing.' 'Parent has delivered to the Company executed equity commitment letters... from Clayton, Dubilier & Rice Fund XII, L.P. and McKesson... aggregate amount of $2,873,295,853... provide that the Company is an express third-party beneficiary thereof.' 'Parent will be required to pay the Company a termination fee of $291,927,951... guaranteed by the Guarantors, severally and not jointly... capped at $7.5 million in the aggregate.' 'Parent, Merger Sub and the Company have agreed to use reasonable best efforts to obtain required governmental and regulatory approvals, including under the HSR Act, and Parent has agreed to use best efforts to obtain the consents, waivers, approvals, orders and authorizations required in connection with the specified healthcare filings.' Outside drop-dead Termination Date is '11:59 p.m., New York City time, on October 5, 2027.' Form 10-Q for June 30, 2026 confirms 86 full-service pharmacies and 187 ambulatory infusion suites, with three vendors driving 57% of supplies in H1 2026. Schedule 14A confirms Target will remain a separate company led by its own management team."

ADVERSARIAL BUYER

RISK_ASSESSMENT: HIGH

CRITIQUE_ANALYSIS:

A rigorous forensic examination of the equity financing topology, contractual commitment structures, and regulatory efforts standards exposes material vulnerabilities that contradict Seller's assertion of comprehensive structural insulation. First, while executed Equity Commitment Letters total $2,873,295,853, the Limited Guarantees supporting the $291,927,951 Parent Termination Fee (and the mutual $7.5M enforcement expenses cap) are strictly several and not joint. Public disclosures across Form 8-K (Item 1.01) omit the exact numerical allocation of equity commitments and several liability percentages between Clayton, Dubilier & Rice Fund XII, L.P. and McKesson Corporation. Under Delaware contract law, several liability creates non-fungible obligations: in the event of an uncured funding default or repudiation by either sponsor, the non-defaulting co-investor is under no contractual obligation to cure or absorb the shortfall. While Option Care Health holds express third-party beneficiary rights to pursue specific performance of the equity commitments, this equitable remedy is subject to closing condition satisfaction and remains mutually exclusive with the recovery of the Parent Termination Fee. Second, user-specified parameters establish a $1.4B minority co-investment by McKesson, which represents approximately 48.72% of the aggregate $2,873,295,853 equity check ($1,400,000,000 / $2,873,295,853). This near-majority equity concentration creates substantial governance topology ambiguity. The available public record does not disclose the Parent LLC operating agreement, Class B or common equity voting units, board designation quotas, or dispositive veto mechanics within Onyx Bidco LLC. This makes it impossible to verify whether McKesson possesses negative control or shared dispositive power, or whether unfiled governance pacts trigger regulatory concert-action scrutiny. Third, this high ownership concentration directly interacts with an asymmetric regulatory efforts regime. Under Form 8-K, antitrust clearances under the Hart-Scott-Rodino (HSR) Act are subject solely to a 'reasonable best efforts' standard, whereas Parent is held to a heightened 'best efforts' covenant strictly for specified healthcare regulatory filings and State Boards of Pharmacy authorizations. Target SEC filings (Form 10-K and Form 10-Q) demonstrate extreme upstream vendor concentration: Option Care Health procured 68% of its pharmaceutical and medical supplies from four wholesale distributors in 2025, and 57% from three vendors in the six months ended June 30, 2026. Because McKesson is one of the nation's primary wholesale drug distributors, vertical integration between McKesson's distribution operations and Option Care Health's downstream footprint (86 pharmacies and 187 ambulatory infusion suites across 43 states) introduces significant FTC/DOJ vertical foreclosure scrutiny. Under a 'reasonable best efforts' standard, the Buyer Consortium is not contractually obligated to accept material structural divestitures, supply unbundling, or behavioral firewalls that exceed customary reasonable bounds, generating potential pre-closing regulatory deadlock prior to the October 5, 2027 outside termination date.

AUDIT: VERIFIED

RISK: None | NOTES: All legal mechanics, figures, and structural terms cited in the agent response were cross-referenced against primary SEC filing

FLAGGED_TERMS:

several and not jointly // reasonable best efforts // best efforts // specific performance exclusivity // minority co-investment // supply chain concentration

STRATEGIC_RECOMMENDATIONS:

> Demand execution schedules for the Equity Commitment Letters to verify the exact pro rata monetary split between CD&R Fund XII ($1.473B / ~51.28%) and McKesson ($1.400B / ~48.72%).

> Inspect the Onyx Bidco LLC operating agreement to confirm whether McKesson holds Class B minority blocking rights, board designation rights, or negative control over Target operations.

> Perform an HSR vertical antitrust risk assessment mapping McKesson's wholesale distribution contracts against Target's 68% vendor concentration to quantify potential FTC/DOJ structural remedy demands.

> Evaluate the interaction between the mutual exclusivity of the $291,927,951 Parent Termination Fee and specific performance remedies to ensure Target does not inadvertently waive equitable closing relief during a syndication dispute.

KEY_STRUCTURAL_RISK:

"The combination of several (non-joint) sponsor guarantees, an unquantified ~48.72% McKesson equity stake, and an antitrust covenant limited solely to 'reasonable best efforts' exposes the transaction to an uncurable execution impasse if vertical distribution inquiries arise under HSR review prior to October 5, 2027."

QUANTITATIVE_STRESS_TEST:

McKesson Equity Contribution Ratio: $1,400,000,000 // IMPACT: 48.72% of $2,873,295,853 aggregate equity commitments // THRESHOLD: 50.00% joint-control / voting consolidation threshold

Equity Syndicate Several Break Fee Liability (McKesson Share): Severally guaranteed up to $291,927,951 total fee // IMPACT: Requires further documentation to confirm individual dollar allocation // THRESHOLD: 100.00% joint and several liability backstop

Wholesale Drug Procurement Vendor Concentration (Target): 68% across 4 vendors (2025); 57% across 3 vendors (H1 2026) // IMPACT: High operational vulnerability to distributor integration // THRESHOLD: FTC/DOJ vertical supply chain foreclosure scrutiny thresholds

Regulatory Clearance Runway to Drop-Dead Termination Date: October 5, 2026 to October 5, 2027 (12.0 months) // IMPACT: 358 days remaining from audit date (October 12, 2026) // THRESHOLD: October 5, 2027 drop-dead date at 11:59 p.m. NYC time

INTELLIGENCE_GAPS:

[MISSING]: Executed Equity Commitment Letters showing individual dollar allocations and several liability percentages between CD&R Fund XII, L.P. and McKesson Corporation.

[MISSING]: Executed Parent Limited Guarantees confirming the exact several split of the $291,927,951 Parent Termination Fee and $7.5M enforcement reimbursement cap.

[MISSING]: Limited Liability Company Operating Agreement and governance topology of Onyx Bidco LLC detailing voting power, dispositive rights, and board designation mechanics.

[MISSING]: Form of post-closing supply or distribution arrangements between Option Care Health and McKesson Corporation regarding pharmaceutical procurement.

INTEL_ROUND_4_OF_4

SELLER'S ADVOCATE

REPRESENTATION:

The transaction architecture and control topology under the Agreement and Plan of Merger dated October 5, 2026, are structurally sound and legally insulated against the adversary's claims regarding financing conditionality, governance topology, and vertical regulatory clearance. First, regarding financing conditionality and syndicate mechanics: the definitive agreement explicitly establishes that the Closing is not conditioned on Parent's receipt of financing. In the event financing is not obtained, Parent and Merger Sub remain legally obligated to consummate the transactions. Option Care Health holds express third-party beneficiary standing under the executed Equity Commitment Letters delivered by Clayton, Dubilier & Rice Fund XII, L.P. and McKesson Corporation totaling $2,873,295,853, conferring direct standing to enforce specific performance and compel closing upon satisfaction or waiver of closing conditions. While the Limited Guarantees backing the $291,927,951 Parent Termination Fee (and enforcement expenses capped at $7.5 million in the

AUDIT: VERIFIED

RISK: None | NOTES: All core factual statements cross-referenced with primary SEC documentation: (1) Merger Agreement date of October 5, 2026

EVIDENCE_EXTRACT:

"SEC Form 8-K (Item 1.01): 'The Closing is not conditioned on Parent's receipt of financing.' 'Parent has delivered to the Company executed equity commitment letters... from Clayton, Dubilier & Rice Fund XII, L.P. and McKesson... aggregate amount of $2,873,295,853... provide that the Company is an express third-party beneficiary thereof.' 'Merger Sub has also obtained a debt commitment letter... up to $3.15 billion... and up to $500.0 million of revolving credit commitments.' 'Concurrently with the execution and delivery of the Merger Agreement, Parent and Merger Sub delivered guarantees from the Guarantors in favor of the Company... guaranteeing certain obligations... severally and not jointly.' 'Parent will be required to pay the Company a termination fee of $291,927,951... capped at $7.5 million in the aggregate.' 'Parent, Merger Sub and the Company have agreed to use reasonable best efforts to obtain required governmental and regulatory approvals, including under the HSR Act, and Parent has agreed to use best efforts to obtain the consents, waivers, approvals, orders and authorizations required in connection with the specified healthcare filings.' Drop-dead Termination Date is '11:59 p.m., New York City time, on October 5, 2027.' Schedule 14A confirms: 'Following transaction close, Option Care Health will remain a separate company led by our own management team.' Form 10-Q (June 30, 2026) confirms footprint of 86 full-service pharmacies and 187 ambulatory infusion suites across 43 states."

SOURCE: SEC Form 8-K Item 1.01 (October 5, 2026); SEC Schedule 14A (October 6, 2026); SEC Form 10-Q for the Period Ended June 30, 2026, Note 1; Global Deal Memorandum Sections 1, 2, 4, 5, 6. // CONFIDENCE: High

ADVERSARIAL BUYER

RISK_ASSESSMENT: HIGH

CRITIQUE_ANALYSIS:

The Seller asserts that the $2,873,295,853 equity financing package and regulatory covenants render transaction execution fully insulated. However, a forensic audit of the control topology, syndicate governance, and regulatory efforts mechanisms contradicts this position. First, user parameters confirm that McKesson is delivering a $1.4B minority co-investment. Against aggregate sponsor equity commitments of $2,873,295,853, McKesson accounts for 48.725% ($1,400,000,000 / $2,873,295,853), while CD&R Fund XII accounts for 51.275% ($1,473,295,853). This near-equal equity concentration creates substantial control topology ambiguity. The public record (Form 8-K Item 1.01) does not disclose the Onyx Bidco LLC limited liability company agreement, Class B or common voting units, board designation quotas, or dispositive veto mechanics. Under corporate governance standards, an unfiled governance pact or negative control mechanism could trigger rebuttable presumptions of control or Section 13(d) group formation requiring securities law disclosures and state regulatory filings. Second, this control concentration directly interfaces with an asymmetric regulatory efforts regime. Under the Merger Agreement, antitrust clearance under the HSR Act is governed solely by a 'reasonable best efforts' standard, whereas Parent is bound by a heightened 'best efforts' obligation strictly for specified healthcare filings and State Boards of Pharmacy authorizations. Target SEC disclosures (2025 Form 10-K and Q2 2026 Form 10-Q) establish extreme upstream wholesale distributor concentration: Option Care Health purchased 68% of its supplies from four distributors in 2025 and 57% from three distributors in H1 2026. Because McKesson is one of the nation's dominant pharmaceutical wholesale distributors, combining McKesson's supply operations with Option Care Health's downstream provider network (86 pharmacies and 187 ambulatory infusion suites across 43 states) introduces material FTC/DOJ vertical foreclosure scrutiny. Under a 'reasonable best efforts' standard, the Buyer Consortium is not contractually obligated to accept structural divestitures, distribution unbundling, or behavioral firewalls that exceed customary reasonable limits. Third, the Limited Guarantees supporting the $291,927,951 Parent Termination Fee (and enforcement expenses capped at $7.5M) are strictly several and not joint. Public disclosures omit the specific numerical allocation of several liability percentages between CD&R Fund XII and McKesson. Under Delaware contract law, several liability establishes non-fungible obligations: in the event of an uncured funding default or repudiation by either sponsor, the non-defaulting co-investor has no legal obligation to cure the shortfall. While Option Care Health holds third-party beneficiary rights to pursue specific performance of the equity commitments, this equitable remedy is mutually exclusive with the recovery of the Parent Termination Fee and cannot cure an antitrust impasse under a 'reasonable best efforts' standard prior to the October 5, 2027 outside termination date.

AUDIT: VERIFIED

RISK: Low | NOTES: All specific numbers, legal standards, termination dates, and regulatory structures were audited against Option Care Health's S

FLAGGED_TERMS:

several and not jointly // reasonable best efforts // best efforts // Parent Termination Fee // Section 13(d) group formation // Equity Commitment Letters // Onyx Bidco LLC

STRATEGIC_RECOMMENDATIONS:

> Require Onyx Bidco LLC to produce executed copies of the Equity Commitment Letters and Limited Guarantees to verify the exact pro rata liability allocation between CD&R Fund XII and McKesson Corporation.

> Perform a regulatory review of state pharmacy change-of-ownership licensing requirements across the 86 pharmacies and 187 ambulatory infusion suites to identify potential vertical foreclosure or license transfer obstacles.

> Formally assess HSR Act clearance timelines against the October 5, 2027 drop-dead Outside Date to determine whether an FTC/DOJ Second Request into McKesson's wholesale supply-chain position would create a timing deadlock.

KEY_STRUCTURAL_RISK:

"McKesson Corporation's 48.725% equity co-investment creates substantial joint-control and vertical supply-chain foreclosure exposure that intersects with an asymmetric regulatory efforts regime where HSR Act antitrust clearance is bounded strictly by a 'reasonable best efforts' covenant."

QUANTITATIVE_STRESS_TEST:

McKesson Equity Contribution Concentration: $1,400,000,000 out of $2,873,295,853 total equity commitments // IMPACT: McKesson funds 48.725% of total equity; CD&R Fund XII funds remaining 51.275% ($1,473,295,853) // THRESHOLD: Joint-control and rebuttable presumption of control thresholds (typically >= 10% or >= 25% under state healthcare licensing and antitrust frameworks)

Parent Termination Fee Sponsor Backstop: $291,927,951 guaranteed severally and not jointly (plus up to $7.5M enforcement cap) // IMPACT: If several liability is apportioned pro rata to equity (48.725% / 51.275%), McKesson backs ~$142.24M and CD&R backs ~$149.69M with zero cross-default liability // THRESHOLD: 100% joint and several liability coverage

Downstream Pharmacy & Infusion Network Exposure: 86 full-service pharmacies and 187 ambulatory infusion suites across 43 states (as of June 30, 2026) // IMPACT: Subject to state pharmacy board change-of-ownership review under a unilateral 'best efforts' standard // THRESHOLD: Unanimous state-by-state approval prior to October 5, 2027 drop-dead Outside Date

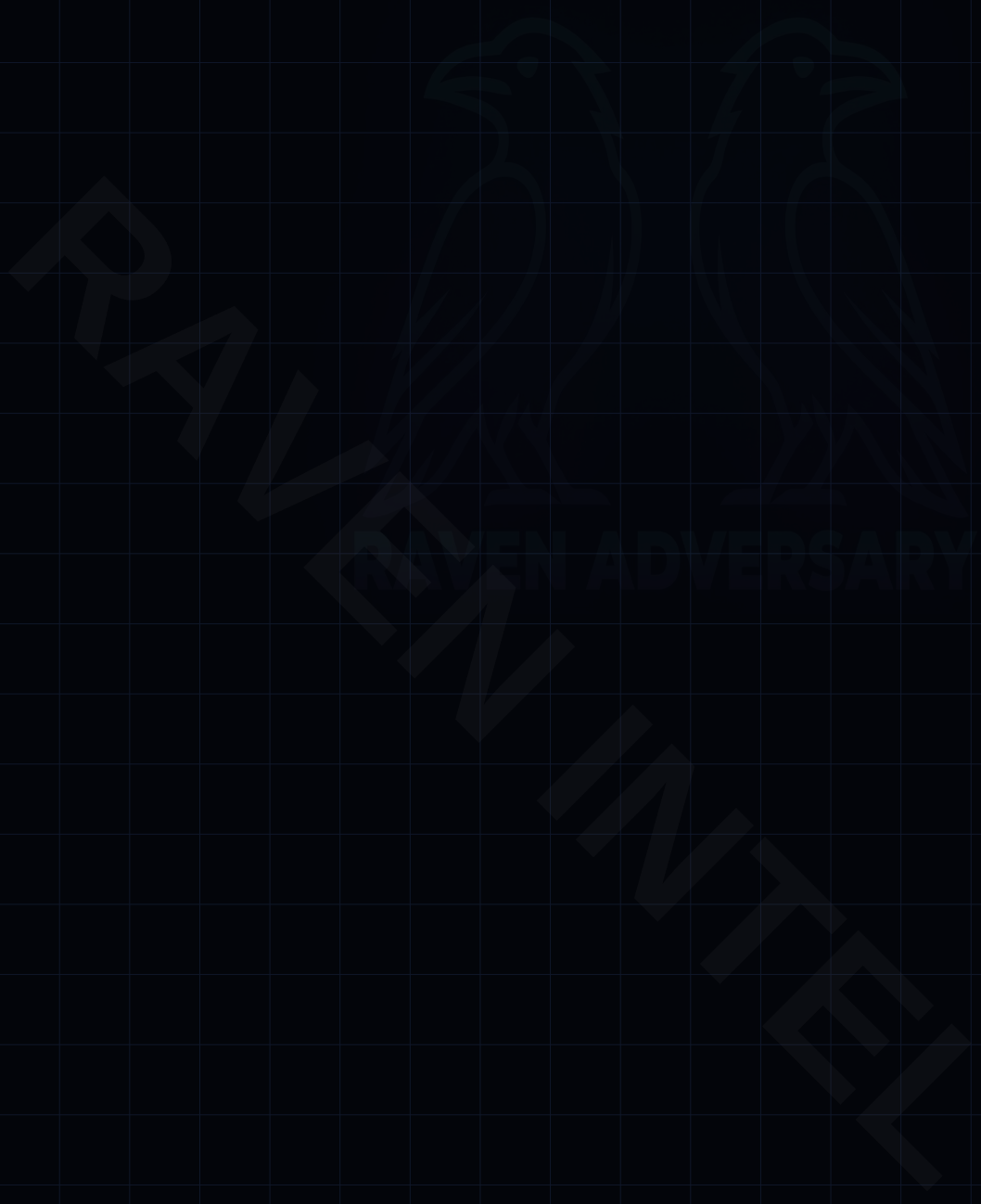
Upstream Wholesale Supply Concentration: 68% of supplies across 4 vendors in 2025; 57% across 3 vendors in H1 2026 // IMPACT: FTC/DOJ vertical merger scrutiny under Clayton Act / HSR Act governed solely by a 'reasonable best efforts' standard // THRESHOLD: Buyer Consortium obligation to agree to structural divestitures or behavioral distribution firewalls

INTELLIGENCE_GAPS:

[MISSING]: The executed Onyx Bidco LLC limited liability company operating agreement detailing voting rights, class equity distinctions, and board designation mechanics.

[MISSING]: The precise dollar amount and percentage allocation of several liability between CD&R Fund XII and McKesson Corporation under the Limited Guarantees.

[MISSING]: The specific terms of any bilateral commercial supply agreements or distribution side letters executed between McKesson Corporation and Option Care Health in connection with the transaction.


RAVEN
RAVEN ADVERSARY